

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

**BAKERLY, LLC
COMPLAINANT,
v.
SEAFRIGO USA INC.
RESPONDENT.**

**COMPLAINANT BAKERLY LLC'S
EXCEPTIONS TO INITIAL DECISION AND
MEMORANDUM AND BRIEF IN SUPPORT**

Table of Contents

	Page
Table of Contents.....	2
Table of Authorities	1
Standard	1
Facts	1
A. <i>The ALJ failed to properly weigh the evidence.</i>	2
1. Seafrigo’s categorizations lack credibility.....	2
2. Seafrigo’s invoicing lacks credibility.	4
3. The ALJ failed by mischaracterizing her own conclusions.	5
B. <i>The ALJ erred in finding that Seafrigo provided backup documentation to Bakerly.</i>	6
C. <i>The ALJ failed to weigh Seafrigo’s spreadsheets outlining the categorization of charges.</i>	7
D. <i>The ALJ failed to make findings on Seafrigo’s overcharges.</i>	18
E. <i>The ID failed to address the disparity in service between CEVA Logistics and Seafrigo.</i>	19
F. <i>The ALJ erred in not sanctioning Seafrigo’s actions in Discovery.</i>	21
Argument	23
I. The ALJ erred as a matter of law by not applying the Interpretive Rule.....	23
II. The ALJ’s Findings Should be Excepted as to the Filed Rate Doctrine because Complainants Have Established a Violation of the Filed Rate Doctrine, Section 41104(A)(2)(A).	24
A. <i>Seafrigo’s Rules Tariff Allocates demurrage risks and expenses to Seafrigo as merchant for door delivery shipments when demurrage is caused by a third party or by Seafrigo.</i>	24
B. <i>Any uncertainty regarding liability for demurrage should be construed against Seafrigo as the carrier.</i>	26
C. <i>The terms and conditions of the tariff have the full force of the filed rate and should be enforced as such.</i>	29
D. <i>Assessing demurrage charges to Bakerly for delays under door-to-door terms serves no incentivizing principle and does not promote freight fluidity.</i>	30
E. <i>The Filed Rate Doctrine Does Not Insulate a Carrier for Harm Caused.</i>	31
F. <i>The Course of Conduct by the Parties Does not Dictate Interpretation of Seafrigo’s Rules Tariff.</i>	33
III. The ALJ’s Findings Should be Excepted as to the Duplicative Invoicing Because Seafrigo had a Practice of Unjust and Unreasonable Invoicing.	34
A. <i>The ALJ erred in legal and factual findings related to Duplicative Invoicing.</i>	36
1. The ALJ failed to address Seafrigo’s own spreadsheet, categorizing charges.	38
2. The ALJ failed to deem Seafrigo’s overcharges as a Shipping Act Violation.	38

B. <i>The ALJ misinterpreted the case law that requires carriers to provide substantiation with alleged “pass-through” invoices.</i>	39
C. <i>Bakerly Proved that Seafrigo’s Duplicative Invoicing was on a Normal, Customary, and Continuous Basis.</i>	43
IV. <i>The ALJ’s Finding Should be Excepted as to the Invoices Seafrigo Issued during the Snowstorm Period Because They Were Unjust and Unreasonable.</i>	45
A. <i>Bakerly established that it was unreasonable for Seafrigo to pass through the D&D charges during the snowstorm event.</i>	45
B. <i>The ALJ erred in the finding that the Interpretive Rule does not apply to this case.</i>	46
C. <i>Risk of weather-related events were not assumed by Bakerly.</i>	47
Conclusion	48
Certificate of Service	1

Table of Authorities

	Page(s)
 Cases	
<i>Am. Tel. and Tel. Co. v. Central Office Tel., Inc.</i> , 524 U.S. 214 (1998).....	12
<i>Asphalt Ref. Co. v. Frescati Shipping Co., Ltd.</i> , 589 U.S. ____ ; 140 S. Ct. 1081, 1087–88 (2020).....	7
<i>Baldwin v. Scott County Milling Co.</i> , 307 U.S. 478 (1939).....	8
<i>CITGO Asphalt Ref. Co. v. Frescati Shipping Co., Ltd.</i> , 589 U.S. ____	7
<i>Crocus Investments, LLC & Crocus, Fze, Complainant, v. Marine Transport Logistics, Inc., Respondents.</i> , 2021 WL 3732849	22
<i>Gruenberg-Reisner v. Overseas Moving Specialists</i> , 2017 WL 2241031 (FMC 2017)	20
<i>Gruenberg-Reisner v. Overseas Moving Specialists, Inc.</i> , 34 S.R.R. 613 (FMC 2016).....	15, 19
<i>Gruenberg-Reisner</i> , 34 S.R.R.	19, 20
<i>In re Calpine Corp.</i> , 337 B.R. 27 (S.D.N.Y. 2006).....	8
<i>Kansas City Southern R. Co. v. Carl</i> , 227 U.S. 639 (1913).....	12
<i>Louisville & Nashville R. Co. v. Central Iron & Coal Co.</i> , 265 U.S. 59 (1924).....	8
<i>Maislin Industries, U.S. v. Primary Steel, Inc.</i> , 497 U.S. 116 (1990).....	10
<i>Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.</i> , 543 U.S. 14 (2004).....	7
<i>Reiter v. Cooper</i> , 507 U.S. 258 (1993).....	10
<i>St. Louis, Sw. Ry. Co. v. Mays</i> , 177 F. Supp. 182 (E.D. Ark. 1959).....	23
<i>Taylor's Resources, Inc. (USA) v. Mitsui O.S.K. Lines Ltd.</i> , Docket No. 1954(I), 2018 WL 1757672 (FMC Apr. 4, 2018).....	11
<i>TCW, Inc. v. Evergreen Shipping Agency (America) Corporation, & Evergreen Line Joint Service Agreement</i> , 2022 FMC LEXIS 589, at *19; 2022 WL 18068977 at *1-*2 (Dec.29, 2022)	24, 25
<i>Thurston Motor Lines, Inc. v. Jordan K. Rand Ltd.</i> , 460 U.S. 533 (1983).....	8
<i>Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.</i> , Docket, No. 1831(F), 1998 WL 940255 (FMC Dec. 10, 1998)	11

<i>W. Gulf Mar. Ass’n v. Port of Hous. Auth.</i> , 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978)	14
<i>W. Gulf Mar. Ass’n. v. FMC</i> , 610 F.2d 1001 (D.C. Cir. 1979).....	14

Statutes

5 U.S.C. § 556(d)	1
46 U.S.C. § 41102(c)	13
Pub. L. 117–146, §1	1
Section 41102(c) of Title 46 of the United States Code	13

Regulations

46 C.F.R. §545.5 (c)(2)(ii)	24
46 C.F.R. § 502.227(a)(6)	1
46 C.F.R. § 545	1, 9
46 C.F.R. § 545.4	1, 13, 21
46 C.F.R. § 545.5	25
46 C.F.R. § 545.5(c)(1)	17
46 C.F.R. § 545.5(d)	17
83 Fed. Reg. 29,638	22

Standard

Under the Administrative Procedure Act, the Initial Decision (ID) must be supported by and in accordance with reliable, probative, and substantive evidence. 5 U.S.C. § 556(d). In reviewing the ID, the Commission has all the powers which it would have in making the initial decision—thus reviewing *de novo* the findings of the ALJ. 46 C.F.R. § 502.227(a)(6).

Complainant's Exceptions will demonstrate that some of the key decisions taken in the ID were factually and legally insufficient to support the conclusions taken by the Administrative Law Judge ("ALJ") and Complainant hereby takes the Exceptions noted below.

Facts

The ALJ's findings should have been made based on a preponderance of the evidence. "The evidence . . . must demonstrate by a 'preponderance of the evidence' that the existence of a fact is more probable than not. In the absence of direct evidence, the Commission may rely on reasonable inferences based upon circumstantial evidence." *Petition of S. Carolina State Ports Auth. for Declaratory Order*, 27 SRR 1137, 1161 (1997) (citing *Sea-Island Broadcasting Corp. v. Federal Communications Comm'n*, 627 F.2d 240 (D.C. Cir.), *cert. denied*, 449 U.S. 8334 (1980)); *Adair v. Penn-Nordic Lines, Inc.*, 26 SRR 11, 15 (I.D. 1991) (administratively final, October 24, 1991). Further, the evidence must be weighed in light of the entire record. *Sea-land Service Inc. - Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, 2006 WL 2007809, at *11 (citing *Unapproved Section 15 Agreements - Spanish/Portuguese Trade*, 8 F.M.C. 596, 612 (1965)). As outlined below, it is clear that the facts on which the ALJ relied are not based on this standard.

A. The ALJ failed to properly weigh the evidence.

1. Seafrigo's categorizations lack credibility.

The ALJ failed to properly weigh Seafrigo's evidence against the competing evidence in the entire record. Specifically, Seafrigo's claims lack credibility and must be weighed against the testimony and documentation in the record. Seafrigo categorized charges during discovery. Seafrigo's categorizations are key because Seafrigo is positioned to identify the causes of the charges, as the NVO that moved the containers on a door-to-door basis. Seafrigo is the party that received the underlying invoices that it allegedly passed through to Bakerly. And Seafrigo had control over the containers. Thus, the ALJ had to review exactly what Seafrigo admitted to, with regard to the causes.

In the category of "Port Congestion," Seafrigo categorized \$2,120.12 in charges caused by Port Congestion. But then—without support—in its response brief, Seafrigo categorized an additional 22,195%¹ of charges to port congestion, according to Al Raffa's affidavit (that was not produced in discovery). Seafrigo SPFF 125; 199-201. Other than an affidavit stating that "careful analysis reveal[ed]" Seafrigo does not cite any evidence to support this recategorization or any rationale whatsoever that led to such a significant increase. Raffa Decl. at ¶ 58. Given that this "careful analysis" does not even cite a single invoice or email, nor does Seafrigo attempt to describe the careful analysis, it should not be considered credible.

Seafrigo initially categorized, in Round 1, the cause of \$733,566.31 in charges as unknown during discovery. Later in discovery in Round 2, Seafrigo categorized only

¹ Seafrigo originally categorized \$470,552.59 to unknown charges and categorized \$2,120.12 as port congestion, and then in Al Raffa's Declaration, Seafrigo re-categorized \$470,552.59 as port congestion. This was a 22,195% increase in charges categorized as port congestion based only on a few statements that Seafrigo conducted "careful analysis."

\$471,341.59 in charges as unknown. No invoices, documents, or emails are cited by Seafrigo in this categorization or in the change in categorization. Then in Seafrigo’s Response brief, Seafrigo once again provided a new recategorization stating that after “careful analysis” all of those charges that had been categorized as unknown should now be categorized as the caused of port congestion. SPFF 199; Raffa Dec. at 128. Again, this change on categorizations of \$733,566.31 in charges is not supported by anything other than a few comments about “careful analysis” from Seafrigo’s Managing Director.

Further, the admissions provided by Seafrigo for these unknown categories of charges do not relate to port congestion. See the notes for charges that Seafrigo categorized as unknown and now categorizes as caused by port congestion:

- For \$37,078.05 of these previously-unidentified charges, the notes column shows that Seafrigo admitted “there is no back up to explain cause of charges or if Bakerly was advised”; that Seafrigo could not locate any information on the charge (“Cannot locate anything”); and that there is “missing information.”:

PO #	Invoice Amount	Invoice Type	Claimed Amount Discovery	PH 3 - Cause of charge	PH 3 - Notes
PO001 633	\$ 45.00	Per Diem	\$ 45.00	#N/A	Need Sam to review as there is no back up to explain cause of charges or if Bakerly was advised
PO004 305	\$ 647.50	Demurrage	\$ 647.50	#N/A	This container was dispatched after the ETA.
PO002 588	\$ 1,150.00	Demurrage	\$ 1,150.00	#N/A	Need Sam to review for further missing details
PO004 302	\$ 1,242.50	Demurrage	\$ 1,242.50	#N/A	Cannot locate anything.
PO004 302	\$ 1,356.50	Demurrage	\$ 1,356.50	#N/A	Cannot locate anything on this.
PO001 753	\$ 310.00	Per Diem	\$310.00	SEE NOTE S	WRONG INVOICE #
PO004 296	\$ 2,407.50	Demurrage	\$2,407.50	#N/A	This container was dispatched after the ETA
PO001 619	\$ 2,890.50	Per Diem	\$ 2,890.50	#N/A	Sam needs to review further as there are no emails to reflect the cause of this or if Bakerly was advised.

PO000 717	\$ 3,353.55	Demurrage	\$ 3,353.55	#N/A	Sam needs to review why the demurrage happened and if Bakerly was advised.
PO001 659	\$ 4,245.00	Demurrage	\$4,245.00	#N/A	Need Sam to review further as no email to show Bakerly was advised
PO002 250	\$ 5,750.00	Per Diem	\$ 5,750.00	#N/A	Need Sam to review and advise missing information
PO001 765	\$ 6,000.00	Per Diem	\$ 6,000.00	#N/A	Need Sam to review and advise on missing information
PO001 017	\$ 7,680.00	Demurrage	\$ 7,680.00	#N/A	Need Sam to review further as there is no email on file to show client was advised or cause of the demurrage.

(PFF ¶ 83.) And yet, now Seafrigo categorizes these charges as the fault of “Port Congestion” after “careful analysis” but without any citations to the record, nor documents, invoices, or emails. This is a preposterous position and strikes right at the heart of Seafrigo’s credibility.

2. Seafrigo’s invoicing lacks credibility.

In addition to lacking credibility as to how it categorized the charges, Seafrigo also lacks credibility on its invoicing practices—specifically, Seafrigo could not differentiate between freight and D&D charges.

Unrelated to the litigation, but through negotiation between the parties following FMC mediation, Seafrigo and Bakerly settled outstanding freight charges. PFF at 50. As invoiced throughout this period, Seafrigo had claimed that Bakerly owed \$865,336.89 in outstanding freight charges. PFF at 50. But after review between the parties, Bakerly identified that \$142,122.33 was not properly invoiced (\$102,810.46 was actually D&D and \$39,311.87 was no longer claimed by Seafrigo for other reasons) and Seafrigo agreed. PFF at 50.

As outlined more specifically in the “Duplicative Invoicing” section below, Seafrigo’s invoicing is illogical making the invoices incomprehensible, and therefore, Seafrigo’s invoicing lacks credibility.

3. The ALJ failed by mischaracterizing her own conclusions.

It is quite meaningful that the ALJ herself stated the following:

- **“Indeed, the best explanation of the organization of Seafrigo’s evidence is provided by Bakerly in its Reply at 33-34.”** ID at 4.
- “The documents supporting Seafrigo’s charges were **not well-organized** and were **confusing**. Indeed, Seafrigo’s appendix was so confusing that the undersigned required it to resubmit portions of its appendix with Bates numbers and required both parties to submit a table of contents for their appendices. June 29, 2023, Order to Correct Filings at 2. However, it is not clear that this was willful or an inappropriate litigation tactic, but **rather appears to be the manner in which the information was kept in the usual course of business** with the addition of Bates numbers. Thus, **the confusing presentation was apparently due to the manner in which the information was kept**, attempts to include required Bates stamps on the evidence, and the sheer number of invoices that were in dispute between the parties.” ID at 36.

Even if such a situation may not warrant sanctions, as decided by the ALJ, she should have at least drawn logical inferences based on her own conclusions related to Seafrigo’s confusing evidence, such as the following :

- The manner the information was kept by Seafrigo was confusing and was the manner it was kept in the usual course of business;
- The best explanation of the information was in the end provided by Bakerly during the course of the proceedings and not by Seafrigo itself;
- Which leads to the obvious conclusion that the information kept in the usual course of business and shared by Seafrigo was **confusing and thus not reliable—making Seafrigo’s conclusions as to what caused the charges not credible**.

With these obvious inferences in mind, then conclusions can be made with ease with respect to the preponderance standard that the Seafrigo invoicing did not meet the “reasonable” standard for significant amounts of demurrage and detention charged to Bakerly, and that Bakerly was justified in non-payment until these inconsistencies could be sorted by Seafrigo, which it never did.

B. The ALJ erred in finding that Seafrigo provided backup documentation to Bakerly.

Based on a preponderance of the evidence the ALJ erred in finding that Seafrigo provided sufficient backup documentation to support the invoices. The ALJ found that “the evidence does not show that Seafrigo had a practice of refusing to provide the information that it had regarding the charges.” ID at 58. But the record shows that Seafrigo continually failed to provide backup documentation regarding the charges. Bakerly started automatically rejecting invoices because Seafrigo failed to provide sufficient information regarding the reason for the charges. CX00020-21; CX00297-CX00309 (Bakerly email to Seafrigo informing them of the automatic rejection of invoices without its proper backup explaining the reasons for the charge); CX00316 (Bakerly email to Seafrigo reminding them of the note sent in exhibit 04-1 following Seafrigo’s failure to respond); CX00324 (Reply from Seafrigo to note in exhibit 04-2 confirming their inability to provide the proper invoices backup requested in exhibit 04-1).

Further, The ALJ erred in finding that Seafrigo sent backup documentation by mail. ID at 58. Seafrigo stated that it had mailed documentation in an email, but that information was never received by Bakerly. Seafrigo provided affidavit testimony that Seafrigo provided backup documentation to Bakerly. Al Raffa testified that Seafrigo provided backup documentation. Raffa Decl ¶¶ 190-191. And the ALJ cites this, as well. ID at 58. But this testimony must be weighed against the lack of any real-time evidence from Seafrigo that shows it sent backup documentation to Bakerly, and it must be weighed against Bakerly’s affidavit testimony outlining that Seafrigo failed to provide backup documentation, and the record evidence of Bakerly repeatedly requesting backup documentation. PFF ¶¶ 88-92. This weighing of evidence is missing in the adjudication process.

As to how the backup documentation led to the ALJ's findings on the course of dealing between the parties, these findings are also improper because the record reflects that Bakerly repeatedly refused to pay invoices based on lack of backup documentation. Bakerly PFF 88-101; *see also* PFF ¶ 94 (September 2021); ¶¶ 95, 97 (October 2021); ¶¶ 88, 93 (October 2021); ¶ 96 (November 2021); ¶ 98 (December 2021); ¶ 99 (February 2022); (February 2022). No significant backup documentation was provided by Seafrigo in the record. This is not an issue of burden of proof since Seafrigo had sole and full control of the information and documentation requested by Bakerly related to the pick up of loaded containers and also to a large extent in the return of empty containers. Bakerly's duty was to timely alert Seafrigo as to the deficiencies of the invoices, and Seafrigo's burden was to provide their support of its proper handling of the tasks which they were contractually obligated to perform, which they did not. The record is clear on that.

C. The ALJ failed to weigh Seafrigo's spreadsheets outlining the categorization of charges.

In discovery, Seafrigo produced a spreadsheet analyzing 1,037 charges that are the basis of this claim. PFF 66. Seafrigo produced this spreadsheet twice—Bakerly refers to the first production as Round 1 and the second production as Round 2. PFF 78.² Seafrigo categorized the subject charges according to their cause. Seafrigo listed each "Cause of charge" in column AA, and two columns of Notes in column Z ("PH 2 – Notes") and Column AE ("PH 3 – Notes"). PFF 73 (citing CX01323). Seafrigo provided the following causes:

- a. Bakerly Warehouse.
- b. N/A.

² Seafrigo allegedly did a third round of categorization based on statements in Al Raffa's declaration. Seafrigo SPFF 125; 199-201; Raffa Decl. at ¶¶ 58, 128.

- c. Snowstorm.
- d. Later Return of empty container.
- e. Lack of Trucker/Drive Capacity.
- f. Seafrigo Fault
- g. US Customs hold.
- h. CLIENT WAS ADVISED BY BLAST EMAIL THAT DUE TO MARKET CONDITIONS AT THE TIME THAT DEMURRAGR [sic] OR PER DIEM MAY APPLY (referred herein as “BLAST EMAIL MARKET CONDITIONS”).
- i. STEAMSHIP LINE.
- j. PORT CONGESTION.
- k. GENSET STORAGE.
- l. SEE NOTES.

PFF 77. A review of the notes for each “Cause of Charge” indicates that Seafrigo’s categorizations are not credible. According to Seafrigo’s own review, Seafrigo categorized the charges into each of the following categories.

	Round 2	Round 1	Round 2 vs Round 1
Cause of charge	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced
Bakerly Warehouse	\$ 1,532,512.48	\$ 1,332,235.49	+\$200,276.99
N/A	\$ 470,552.59	\$ 733,566.31	-\$263,013.72
Snowstorm	\$ 361,178.54	\$ 361,178.54	+\$0.00
Late Return of empty container	\$ 191,267.69	\$ 151,028.15	+\$40,239.54
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 176,832.50	+\$742.00
SeaFrigo Fault	\$ 159,849.08	\$ 168,792.58	-\$8,943.50
US Customs hold	\$ 68,745.59	\$ 49,841.72	+\$18,903.87
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ -	+\$4,758.97
STEAMSHIP LINE	\$ 3,712.50	\$ -	+\$3,712.50
PORT CONGESTION	\$ 2,120.12	\$ -	+\$2,120.12
GENSET SHORTAGE	\$ 1,901.40	\$ -	+\$1,901.40
SEE NOTES	\$ 789.00	\$ -	+\$789.00
Grand Total	\$ 2,974,962.46	\$ 2,973,475.29	+\$1,487.17

In the above table, Bakerly compared the Cause of Charge that Seafrigo provided between Round 1 and Round 2 by showing the sum of the invoice amounts for each Cause of Charge category. CX01325.

The notes provided by Seafrigo undermine Seafrigo's own categorizations and show that Seafrigo lacks credibility:

- For charges that Seafrigo categorized as the fault of "Bakerly Warehouse" (See Bakerly's tab in Seafrigo's excel file, "Pivot – Bakerly Warehouse"), Seafrigo also admitted the following: "CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY." For this note to be categorized as the fault of Bakerly Warehouse, lacks any logic or basis. And this categorization was made for 193 transactions (vs 138 in round 1) amounting to \$880,597.20 (vs \$805,942.72 in round 1) (57% of all charges identified as caused by "Bakerly Warehouse"). PFF 81.
- For six invoices (two of which Seafrigo categorized as "Lack of Trucker/Driver Capacity" and four of which Seafrigo categorized as "Bakerly Warehouse" under PH 3 – Cause of charge) totaling \$24,888.00, Seafrigo stated "Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023."
- For an invoice in the amount of \$1,389.00, in Seafrigo's note under Column "PH 2 – Notes," and categorized by Seafrigo as "Unidentified," Seafrigo stated "No proof on website that this was actually paid."
- For an invoice in the amount of \$7,888.00 that Seafrigo categorized as the fault of "Lack of Trucker/Driver Capacity" in PH 3 - Cause of charge. Seafrigo stated "Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05674-03 is included in this mass payment rcpt."
- For an invoice in the amount of \$17,820.00, Seafrigo categorized as the fault of "Bakerly Warehouse" in PH 3 - Cause of charge, Seafrigo noted "The Additional \$4300 may not be valid. There is no receipt available to prove it was actually paid out. May be a dup."

As noted in the Discovery Section, Section F, *infra*, it is important to note that Seafrigo did not provide specific documentation supporting the findings in its spreadsheet—nor did Seafrigo cite to any documents *at all* to support the categorizations that it made. Seafrigo did not provide labeled folders for each invoice with the related documents in each folder, as it has stated in its filings. Instead, the extent of Seafrigo's efforts to label and identify the produced documents that explain the cause of charge for almost 900 transactions was a general "dump" of documents provided

via zip files.³ The zip files provided as exhibits 1A and 1B show the exact folder structure or lack thereof. On April 18, 2023, Seafrigo provided a zip file of PDFs titled “SUI_20230417.zip”. The zip file contained one folder titled “SUI_20230417.” Within that folder, is a folder titled “IMAGES.” Within that folder, are two folders: “001” and “002.” Folder “001” contained 1,000 PDFs: SUI003471 to SUI005428. “Folder “002” contained 216 PDFs SUI005430 to SUI005861. That is the sum of identification provided by Seafrigo. Contrary to what Seafrigo describes, at no point did Seafrigo provide “labelled folders” with which to identify or ascertain the PDFs and documents related to each transaction.

For many of the charges, Seafrigo categorized as Bakerly’s fault or did not provide a category, but the rationales provided by Seafrigo are irreconcilable with Bakerly being at fault and are clear that Seafrigo was at fault:

- i. Seafrigo identified that for \$94,660.25 worth of invoices, the invoice was not sent. See Column “PH 2 - SeaFrigo Invoice sent”. But lack of invoice is Seafrigo’s fault.⁴

PO #	Invoice Amount	Invoice Type	PH 2 - SeaFrigo Invoice sent	PH 3 - Cause of charge
PO002594	\$ (4,795.00)	Demurrage	NO	#N/A
PO001753	\$ (325.50)	Per Diem	NO	SEE NOTES
PO002248	\$ 1,710.00	Demurrage	NO	Bakerly Warehouse
PO002212	\$ 1,710.00	Demurrage	NO	Bakerly Warehouse
PO002252	\$ 1,710.00	Demurrage	NO	Bakerly Warehouse
PO002152	\$ 1,710.00	Demurrage	NO	Bakerly Warehouse
PO005010	\$ 1,042.00	Demurrage	NO	SeaFrigo Fault
PO000986	\$ 1,481.86	Demurrage	NO	SeaFrigo Fault
PO004988	\$ 891.95	Per Diem	NO	Bakerly Warehouse
PO001735	\$ 601.87	Demurrage	NO	PORT CONGESTION

³ The ID stated that the disorganized folders are the fault of a third-party discovery vendor or are due to Seafrigo’s typical business record filing system, but the evidence is clear that Seafrigo provided inaccurate information in its filing to the Court because the labeled folders do not pertain to each invoice. ID at 36.

⁴ The table that follows simply includes information provided by Seafrigo in its categorization spreadsheet based on charges that Seafrigo states it did not send an invoice.

PO001735	\$ 126.89	Demurrage	NO	#N/A
PO005198	\$ 3,535.66	Demurrage	NO	SeaFrigo Fault
PO002588	\$ 3,622.00	Demurrage	NO	Bakerly Warehouse
PO000714	\$ 4,844.89	Demurrage	NO	Lack of Trucker/Driver Capacity
PO002618	\$ 5,717.00	Demurrage	NO	Lack of Trucker/Driver Capacity
PO005116	\$ 7,565.00	Demurrage	NO	SeaFrigo Fault
PO005201	\$ 7,888.00	Demurrage	NO	Lack of Trucker/Driver Capacity
PO005198	\$ 9,144.13	Demurrage	NO	SeaFrigo Fault
PO002178	\$ 10,419.00	Demurrage	NO	Lack of Trucker/Driver Capacity
PO002174	\$ 10,515.00	Demurrage	NO	Bakerly Warehouse
PO000986	\$ 10,655.00	Demurrage	NO	SeaFrigo Fault
PO002194	\$ 14,890.50	Demurrage	NO	Bakerly Warehouse

- ii. Seafrigo identified that for \$760,169.17 worth of invoices, Bakerly was not notified. See Column “Bakerly Notified”. But failure to notify Bakerly is Seafrigo’s fault.⁵

PO #	Invoice Amount	Invoice Type	PH 3 - Cause of charge	PH 3 - Bakerly Notified
PO003637	2,120.50	Demurrage	Bakerly Warehouse	NO
PO001896	2,076.75	Demurrage	Bakerly Warehouse	NO
PO001143	2,076.75	Demurrage	Bakerly Warehouse	NO
PO001768	2,076.75	Demurrage	Bakerly Warehouse	NO
PO002591	2,073.50	Demurrage	Bakerly Warehouse	NO
PO001326	2,052.00	Demurrage	Bakerly Warehouse	NO
N/A	1,751.00	Per Diem	Bakerly Warehouse	NO
PO002212	1,710.00	Demurrage	Bakerly Warehouse	NO
PO002252	1,710.00	Demurrage	Bakerly Warehouse	NO
PO002152	1,710.00	Demurrage	Bakerly Warehouse	NO
N/A	1,680.00	Per Diem	Bakerly Warehouse	NO
PO002566	1,641.00	Demurrage	Bakerly Warehouse	NO
PO002174	1,641.00	Demurrage	Bakerly Warehouse	NO
PO002184	1,641.00	Demurrage	Bakerly Warehouse	NO
PO002168	1,641.00	Demurrage	Bakerly Warehouse	NO
PO001325	1,600.00	Demurrage	Bakerly Warehouse	NO

⁵ The table that follows simply includes information provided by Seafrigo in its categorization spreadsheet based on charges that Seafrigo states it did not notify Bakerly.

PO001894	1,452.00	Demurrage	Bakerly Warehouse	NO
PO002246	1,424.75	Demurrage	Bakerly Warehouse	NO
PO001758	1,424.75	Demurrage	Bakerly Warehouse	NO
PO001756	1,424.75	Demurrage	Bakerly Warehouse	NO
PO001802	1,415.25	Demurrage	Bakerly Warehouse	NO
PO001188	1,389.97	Demurrage	Bakerly Warehouse	NO
PO001269	1,389.00	Demurrage	Bakerly Warehouse	NO
PO001175	1,135.00	Per Diem	Bakerly Warehouse	NO
PO001234	1,124.55	Per Diem	Bakerly Warehouse	NO
PO002205	1,102.00	Demurrage	Bakerly Warehouse	NO
PO001757	1,102.00	Demurrage	Bakerly Warehouse	NO
PO002212	1,102.00	Demurrage	Bakerly Warehouse	NO
PO002248	1,102.00	Demurrage	Bakerly Warehouse	NO
PO002213	1,102.00	Demurrage	Bakerly Warehouse	NO
PO002151	1,102.00	Demurrage	Bakerly Warehouse	NO
PO001620	1,102.00	Demurrage	Bakerly Warehouse	NO
PO002154	1,102.00	Demurrage	Bakerly Warehouse	NO
PO004988	891.95	Per Diem	Bakerly Warehouse	NO
PO001626	870.00	Demurrage	Bakerly Warehouse	NO
PO001628	870.00	Demurrage	Bakerly Warehouse	NO
PO004817	1,562.00	Per Diem	Bakerly Warehouse	No
PO001188	800.00	Demurrage	Bakerly Warehouse	NO
PO001017	800.00	Demurrage	Bakerly Warehouse	NO
PO001017	800.00	Demurrage	Bakerly Warehouse	NO
PO001019	800.00	Demurrage	Bakerly Warehouse	NO
PO003040	543.75	Demurrage	Bakerly Warehouse	NO
PO001268	529.00	Demurrage	Bakerly Warehouse	NO
PO004531	1,865.00	Per Diem	Bakerly Warehouse	No
PO002256	525.00	Per Diem	Bakerly Warehouse	NO
PO001708	525.00	Per Diem	Bakerly Warehouse	NO
PO001794	525.00	Per Diem	Bakerly Warehouse	NO
PO004590	1,915.00	Per Diem	Bakerly Warehouse	No
PO003150	525.00	Per Diem	Bakerly Warehouse	NO
PO001757	522.00	Demurrage	Bakerly Warehouse	NO
PO001706	475.00	Per Diem	Bakerly Warehouse	NO
PO001617	444.50	Demurrage	Bakerly Warehouse	NO
PO004530	2,270.00	Per Diem	Bakerly Warehouse	No
PO001632	2,310.00	Per Diem	Bakerly Warehouse	No
PO003148	262.50	Per Diem	Bakerly Warehouse	NO
PO000710	250.00	Per Diem	Bakerly Warehouse	NO
PO005018	250.00	Per Diem	Bakerly Warehouse	NO

N/A	200.00	Per Diem	Bakerly Warehouse	NO
PO003199	200.00	Per Diem	Bakerly Warehouse	NO
PO004622	2,800.00	Per Diem	Bakerly Warehouse	No
PO004294	3,420.00	Per Diem	Bakerly Warehouse	No
PO001201	3,933.00	Demurrage	Bakerly Warehouse	No
PO001764	5,910.00	Per Diem	Bakerly Warehouse	No
PO001752	6,400.00	Per Diem	Bakerly Warehouse	No
PO003454	1,070.00	Demurrage	Lack of Trucker/Driver Capacity	No
PO003454	1,355.00	Demurrage	Lack of Trucker/Driver Capacity	No
PO004380	1,708.50	Demurrage	Lack of Trucker/Driver Capacity	No
PO003920	2,625.00	Demurrage	Lack of Trucker/Driver Capacity	No
PO005201	7,888.00	Demurrage	Lack of Trucker/Driver Capacity	No
PO004163	250.00	Per Diem	Late return of empty container	No
PO001321	2,102.00	Per Diem	Late Return of empty container	NO
PO001343	2,102.00	Per Diem	Late Return of empty container	NO
PO004823	395.00	Per Diem	Late return of empty container	No
PO001730	2,025.00	Per Diem	Late Return of empty container	NO
PO002612	1,625.00	Per Diem	Late Return of empty container	NO
PO004787	1,065.00	Per Diem	Late return of empty container	No
PO004625	1,065.00	Per Diem	Late return of empty container	No
PO001803	1,396.50	Per Diem	Late Return of empty container	NO
PO004161	1,125.00	Per Diem	Late return of empty container	No
PO004455	1,125.00	Per Diem	Late return of empty container	No
N/A	1,260.00	Per Diem	LATE Return of empty container	NO
PO000699	1,178.00	Per Diem	LATE Return of empty container	NO
PO001622	1,155.00	Per Diem	Late Return of empty container	NO
PO003828	1,552.00	Per Diem	Late return of empty container	No
PO001029	826.50	Per Diem	Late Return of empty container	NO
PO004671	1,820.00	Per Diem	Late return of empty container	No
PO000884	475.00	Per Diem	Late Return of empty container	NO
PO004944	2,025.00	Per Diem	Late return of empty container	No
PO005113	450.98	Per Diem	Late Return of empty container	NO
PO003458	2,025.00	Per Diem	Late return of empty container	No
PO000884	345.00	Per Diem	Late Return of empty container	NO
PO003459	345.00	Per Diem	Late Return of empty container	NO
PO004191	341.78	Per Diem	Late Return of empty container	NO
PO004759	341.78	Per Diem	Late Return of empty container	NO
PO000753	325.50	Per Diem	Late Return of empty container	NO
PO003855	2,250.00	Per Diem	Late return of empty container	No
PO004094	2,250.00	Per Diem	Late return of empty container	No
PO004305	2,250.00	Per Diem	Late return of empty container	No

PO001761	325.50	Per Diem	Late Return of empty container	NO
PO004742	2,470.00	Per Diem	Late return of empty container	No
N/A	125.00	Demurrage	Late Return of empty container	NO
PO004770	2,575.00	Per Diem	Late return of empty container	No
PO004769	2,575.00	Per Diem	Late return of empty container	No
PO003828	2,620.00	Per Diem	Late return of empty container	No
PO005130	2,620.00	Per Diem	Late return of empty container	No
PO004775	2,882.00	Per Diem	Late return of empty container	No
PO004738	2,930.00	Per Diem	Late return of empty container	No
PO004515	3,065.00	Per Diem	Late return of empty container	No
PO004685	3,274.00	Demurrage	Late return of empty container	No
PO003919	3,360.00	Per Diem	Late return of empty container	No
PO003853	3,375.00	Per Diem	Late return of empty container	No
PO004810	3,429.15	Per Diem	Late return of empty container	No
PO005042	3,465.00	Per Diem	Late return of empty container	No
PO004661	4,011.00	Per Diem	Late return of empty container	No
PO004849	4,011.00	Per Diem	Late return of empty container	No
PO004915	5,240.00	Per Diem	Late return of empty container	No
PO003777	5,625.00	Per Diem	Late return of empty container	No
PO004736	5,863.00	Per Diem	Late return of empty container	No
PO005060	5,908.00	Per Diem	Late return of empty container	No
N/A	180.00	Demurrage	N/A	NO
PO004988	345.00	Per Diem	SeaFrigo Fault	No
PO004191	355.00	Demurrage	SeaFrigo Fault	No
PO000731	828.50	Demurrage	SeaFrigo Fault	No
PO005010	1,042.00	Demurrage	SeaFrigo Fault	No
PO003827	1,073.00	Demurrage	SeaFrigo Fault	No
PO003471	1,122.00	Per Diem	SeaFrigo Fault	No
PO000986	1,481.86	Demurrage	SeaFrigo Fault	No
PO002242	578.50	Per Diem	SEAFRIGO FAULT	NO
PO004811	2,951.52	Demurrage	SeaFrigo Fault	No
PO004808	2,951.52	Demurrage	SeaFrigo Fault	No
PO005420	2,995.00	Demurrage	SeaFrigo Fault	No
PO004908	3,150.00	Demurrage	SeaFrigo Fault	No
PO005198	3,535.66	Demurrage	SeaFrigo Fault	No
PO003739	4,612.50	Demurrage	SeaFrigo Fault	No
PO005116	4,692.00	Demurrage	SeaFrigo Fault	No
PO005039	4,760.00	Demurrage	SeaFrigo Fault	No
PO005233	4,760.00	Demurrage	SeaFrigo Fault	No
PO000731	4,910.00	Demurrage	SeaFrigo Fault	No
PO005164	5,375.16	Demurrage	SeaFrigo Fault	No

PO004304	5,727.00	Demurrage	SeaFrigo Fault	No
PO005116	7,565.00	Demurrage	SeaFrigo Fault	No
PO005198	9,144.13	Demurrage	SeaFrigo Fault	No
PO005078	9,353.90	Demurrage	SeaFrigo Fault	No
PO005035	9,452.00	Demurrage	SeaFrigo Fault	No
PO005040	10,234.00	Demurrage	SeaFrigo Fault	No
PO005091	10,258.61	Demurrage	SeaFrigo Fault	No
PO000860	10,258.61	Demurrage	SeaFrigo Fault	No
PO005099	10,258.61	Demurrage	SeaFrigo Fault	No
PO004089	10,580.00	Demurrage	SeaFrigo Fault	No
PO000986	10,655.00	Demurrage	SeaFrigo Fault	No
PO002194	789.00	Demurrage	SEE NOTES	NO
PO003778	500.00	Per Diem	Snowstorm	No
PO003929	570.00	Per Diem	Snowstorm	No
PO003855	647.50	Demurrage	Snowstorm	No
PO004041	647.50	Demurrage	Snowstorm	No
PO004048	647.50	Demurrage	Snowstorm	No
PO004045	690.00	Per Diem	Snowstorm	No
PO004054	1,216.69	Demurrage	Snowstorm	No
PO004086	1,237.48	Demurrage	Snowstorm	No
PO004085	1,237.48	Demurrage	Snowstorm	No
PO004083	1,237.48	Demurrage	Snowstorm	No
PO003615	1,280.00	Demurrage	Snowstorm	No
PO003930	1,280.00	Demurrage	Snowstorm	No
PO004051	1,287.50	Demurrage	Snowstorm	No
PO004061	1,591.05	Demurrage	Snowstorm	No
PO003828	2,346.00	Demurrage	Snowstorm	No
PO004050	2,386.57	Demurrage	Snowstorm	No
PO003948	3,165.00	Demurrage	Snowstorm	No
PO003949	3,165.00	Demurrage	Snowstorm	No
PO003706	3,680.00	Demurrage	Snowstorm	No
PO003933	3,687.50	Demurrage	Snowstorm	No
PO003921	3,885.00	Demurrage	Snowstorm	No
PO003785	4,070.00	Demurrage	Snowstorm	No
PO003816	5,287.50	Demurrage	Snowstorm	No
PO003854	5,847.50	Demurrage	Snowstorm	No
PO003777	6,087.50	Demurrage	Snowstorm	No
PO003823	6,087.50	Demurrage	Snowstorm	No
PO003815	6,087.50	Demurrage	Snowstorm	No
PO004009	6,279.00	Demurrage	Snowstorm	No
PO003924	6,279.00	Demurrage	Snowstorm	No

PO003786	6,280.00	Demurrage	Snowstorm	No
PO003890	6,294.00	Demurrage	Snowstorm	No
PO004095	6,880.00	Demurrage	Snowstorm	No
PO003824	6,880.00	Demurrage	Snowstorm	No
PO003889	6,880.00	Demurrage	Snowstorm	No
PO003825	6,880.00	Demurrage	Snowstorm	No
PO003779	6,880.00	Demurrage	Snowstorm	No
PO003818	6,880.00	Demurrage	Snowstorm	No
PO003886	6,880.00	Demurrage	Snowstorm	No
PO003778	6,880.00	Demurrage	Snowstorm	No
PO003817	6,880.00	Demurrage	Snowstorm	No
PO004052	7,139.00	Demurrage	Snowstorm	No
PO003888	7,680.00	Demurrage	Snowstorm	No
PO003829	9,287.50	Demurrage	Snowstorm	No
PO004040	9,736.00	Demurrage	Snowstorm	No
PO004010	12,350.50	Demurrage	Snowstorm	No
PO004039	14,372.50	Demurrage	Snowstorm	No
PO004046	15,005.00	Demurrage	Snowstorm	No
PO004049	15,133.75	Demurrage	Snowstorm	No
PO004045	15,133.75	Demurrage	Snowstorm	No
PO003927	15,133.75	Demurrage	Snowstorm	No
PO003929	15,286.53	Demurrage	Snowstorm	No
PO003813	15,895.00	Demurrage	Snowstorm	No
PO004092	15,925.52	Demurrage	Snowstorm	No
PO004093	17,324.73	Demurrage	Snowstorm	No
PO004050	18,120.26	Demurrage	Snowstorm	No
PO001633	45.00	Per Diem	#N/A	No
PO004305	647.50	Demurrage	#N/A	No
PO002588	1,150.00	Demurrage	#N/A	No
PO001287	1,245.00	Per Diem	#N/A	No
N/A	219.45	Per Diem	#N/A	NO
PO004296	2,407.50	Demurrage	#N/A	No
PO001735	126.89	Demurrage	#N/A	NO
PO001619	2,890.50	Per Diem	#N/A	No
PO000717	3,353.55	Demurrage	#N/A	No
PO001659	4,245.00	Demurrage	#N/A	No
PO004517	5,677.00	Demurrage	#N/A	No
PO001017	7,680.00	Demurrage	#N/A	No

- i. For \$179,289.45 worth of invoices, Seafrigo admitted that “No email back to customer was found.”

- ii. For a \$7,927.00 charge, Seafrigo admitted that “demurrage for this file was paid 3 diff. times for 3 diff. amounts.”
- iii. For a \$3,659.50 charge, Seafrigo admitted “In looking at the file I have reason to believe that we did infact [sic] double bill the client on the demurrage and incorrectly double posted the same cost to the file. It is not a loss, it just needs to be credited from the file. MCN 2/2/23 SSFN21005156 explained to Al there is a dup charge of \$3650 on the file but no proof of paying twice.”
- iv. For \$24,888.00 in charges, Seafrigo admitted “Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023.”
- v. For a \$1,389.00 charge, Seafrigo admitted “No proof on website that this was actually paid.”
- vi. For \$7,565.00 in charges, Seafrigo admitted “Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05577-03 is included in this mass payment rcpt.”
- vii. For \$7,888.00 in charges, Seafrigo admitted, “Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05674-03 is included in this mass payment rcpt.”
- viii. For \$17,820.00 in charges, Seafrigo admitted “The Additional \$4300 may not be valid. there is no receipt available to prove it was actually paid out. May be a dup.”
- ix. For a \$3,037.55 charge, Seafrigo admitted “This is not a Bakerly file. Customer: Overseas.”
- x. Seafrigo admitted that backup was not sent for many invoices:⁶
 1. Seafrigo identified that for \$865,179.15 worth of invoices, the backup was not sent. See Column “PH 2 - Email with backup sent”.
 2. \$579,391.53 worth of invoices identified as “NO”. See Column “BackUp Available”
- xi. Additionally, Seafrigo admitted the following nonsensical items in Column “PH 3 – Notes”
 3. Billed on dummy file. Unable to find proof of any per diem payment in CW or IES.: \$1,245.00

⁶ Note that the following transactions overlap in some respects for x.1 and x.2.

4. BRIDOR SHIPMENT: \$44.00
5. Cannot locate anything on this.: \$4,849.00
6. I do not find an email where Kizzy directly tells Bakerly about demurrage but they were aware of the issues all the way through.: \$7,888.00
7. IN ADDITION TO CUSTOMS HOLD THE SSL TOOK A LONG TIME TO SEND US DEMURRAGE INVOICES AND TOOK LONGER TO UPDATE THE TERMINAL WITH THE RELEASE. BY THE TIME THE TERMINAL WAS UPDATED IT WAS TOO LATE FOR THE CARRIER TO PICK UP THE CONTAINER.: \$36,171.07
8. OVERSEAS: \$3,037.55

(PFF ¶ 83.) These are admissions from Seafrigo and must be treated as such.

The Initial Decision conveniently does not refer to any of the notes or conclusions provided by Seafrigo, which are in fact “admissions” of inappropriate invoicing, but it does rely on a few topline numbers that Seafrigo provided for the charges that Seafrigo categorized as caused by Seafrigo. ID at 2. The ID failed to weigh this categorization against the information provided by Seafrigo and the rest of the record. Bakerly takes exception with these findings in the context of ignoring the large number of admissions provided by Seafrigo to the contrary.

D. The ALJ failed to make findings on Seafrigo’s overcharges.

The ALJ only identified two overcharges by Seafrigo but failed to make a finding that the overcharge violated the Shipping Act. ID at 65.

For example, the ALJ fails to make a finding that Seafrigo’s overcharges violated the Shipping Act for container SEGU9420024. Seafrigo’s response to this overcharge is illogical because Seafrigo attempts to argue that a 42% overcharge is explained by a 3.99% finance charge (for example, on Container SEGU9388853, Seafrigo charged \$28,761.43, when it should

have charged \$16,698.00 and the overcharge of \$12,063.43 is 42% of \$28,761.43). Additionally, for container SEGU9420024, Seafrigo charged Bakerly \$13,496.86. Bakerly—with the limited information provided by Seafrigo—cannot identify the proper amount it should have been charged. PFF and Seafrigo Response 48. But by either the Maher Terminal or the Hapag rates, Bakerly can identify that it was charged the *wrong* amount. *Id.* Based on the Maher Terminal rate, Seafrigo should have passed through \$8,378.00, or based on the Hapag demurrage rates should have passed through \$11,611.00. *Id.* Seafrigo argued that the difference is due to a 3.99% finance charge, but that finance charge would have been \$463.278. Thus, with the finance charge, the total would have been \$12,074.278. Further, the ALJ ignores the underlying practice that the Record shows of Seafrigo overcharging Bakerly.

Seafrigo admitted to overcharging by \$8,879.55 for container SEGU9388853. RX 24; Seafrigo Reply to PFF ¶ 46 (“Seafrigo admits that in this isolated instance it overcharged Bakerly by \$8,879.55.”). Based on this admission, the Commission must make a finding that Seafrigo violated the Shipping Act.

E. The ID failed to address the disparity in service between CEVA Logistics and Seafrigo.

The ALJ cited the comparison between the performance of CEVA and Seafrigo as an example within the section on “Confusing Invoices,” in reference to Bakerly’s argument on unjust and unreasonable practices related to duplicative invoicing. But the comparison with CEVA was cited by Bakerly—not as a showing of lacking systemic controls⁷—but as a quantum example of Seafrigo’s lack of due diligence. The comparison of two vendors handling containers

⁷ Further, the ID cites to the introduction for this quote. ID at 62.

for Bakerly is a perfect metric to use as a basis for providing inferences to the larger questions of deficient practices by Seafrigo. In other words, the fact that containers from the same vessel, devanned at the same terminal, and yet produce such dramatic results for each of the vendors, has, in reality, evidentiary value in judging the overall practices of Seafrigo during the period in question. Bakerly used CEVA for logistics in Q3 2021 and found that CEVA was far more efficient than Seafrigo. During this period CEVA incurred \$0 in detention and demurrage for containers arriving at Maher Terminal from the same vessel and the same time, and Seafrigo incurred \$60,292.24. PFF 62. At least twice, some shipments handled by Seafrigo and CEVA crossed the ocean on the same boats, and for the same time period, CEVA incurred \$0 in D&D and Seafrigo incurred \$60,924.24. This is not that CEVA is just more efficient than Seafrigo and Seafrigo less efficient than CEVA, which would have been the case, should CEVA have had less D&D than Seafrigo or have better delivery times than Seafrigo. Instead, this clearly shows that it was possible to avoid having any D&D on such shipments, which Seafrigo could not manage to do and merely passed the cost of its deficiencies to Bakerly. This, in addition to the abnormal amount of unjustified D&D pass through charges by Seafrigo, establishes an unreasonable practice by Seafrigo or, at the very least, makes it more probable than not—which is the standard in this case.

Seafrigo argued that the CEVA comparison is meaningless because the industry had mostly recovered from port congestion at that time. Seafrigo Replies to PFF 62-63. But that does not excuse Seafrigo's poor performance because Seafrigo still incurred significant detention and demurrage (\$60,292.24) for an allegedly recovered period and CEVA incurred \$0 in detention and demurrage charges. Thus, even if the industry had already recovered that does not provide

Seafrigo with an excuse. Instead, Seafrigo's exacerbated lack of due diligence is even further highlighted because Seafrigo was still incurring significant detention and demurrage charges.

Further, the ALJ did not review the comparison in detail but instead simply dismissed this valuable metric. The Initial Decision stated, "*even if this were the case*, the fact that one practice is more efficient than another does not, without more, make the less efficient practice unreasonable." ID at 62. But the comparison shows that Seafrigo has culpability for the high detention and demurrage charges because Seafrigo incurred significantly greater charges than CEVA did, during the same period that both carriers were removing containers from the same terminal, Maher Terminal. PFF 62. This comparison has definite evidentiary value in an environment where the party has assumed the responsibilities of door delivery, and controls all the facts related to that activity, but for a multitude of reasons fails to provide it, but its competitor easily provided it.

This comparison also shows that Al Raffa's affidavit lacks credibility. He stated that Seafrigo did not lack due diligence, but the comparison between CEVA and Seafrigo's charges provides a stark contrast. PFF 61 Seafrigo Response. Seafrigo stated in the Response to PFF 61 that "[t]he transfer to CEVA was made after the market had largely recovered and when congestion was greatly reduced."). However, the rationale that the congestion had greatly reduced is undermined by the facts that Seafrigo had some of the highest demurrage charges in the third quarter of 2021. PFF 61. The inconsistencies abound and are not considered by the ALJ. Relevant inferences can be derived by these facts but were not touched by the ALJ.

F. The ALJ erred in not sanctioning Seafrigo's actions in Discovery.

The ALJ errs in concluding that the bates-labeling performed by a third-party vendor absolves Seafrigo from making untrue statements about providing documents in folders labeled by invoice number. ID at 36. The bates labels are not related to Seafrigo's untrue statements that

Seafrigo provided individual folders with information organized by invoice. The bates labels are not the issue. Instead, Bakerly raised the concern about Seafrigo's untrue statements about *how* the documents were presented. Additionally, Seafrigo's documents are not cited at all or linked in any way to any of Seafrigo's categorizations in its spreadsheet. Instead, Seafrigo dumped two large sets of documents on Bakerly: one set one day after discovery closed (April 4, 2023) and the other fifteen days after discovery closed (April 18, 2023) irrespective of the third-party vendor labelling.

On April 4, 2023, Seafrigo provided a zip file of documents. It was titled "SUI_20230405.zip." It appears to be substantially similar to Exhibit 1A. The zip file contains one folder titled "SUI_20230405." That folder contains two folders titled "IMAGES" and "NATIVES." Folder "IMAGES" contains two folders: "001" and "002." Folder "001" contains 1,000 PDFs: SUI001436 to SUI003469. Folder "002" contains 61 PDFs: SUI001441 to SUI002891. Folder "NATIVES" contains six excels and a Data Base File. The excels are titled SUI002177, SUI002178, SUI002179, SUI002226, SUI002776, and SUI003319.

On April 18, 2023, Seafrigo provided a zip file of PDFs. It was titled "SUI_20230417.zip." It appears to be substantially the same as the Exhibit 1B. The zip file contains one folder titled "SUI_20230417." Within that folder, is a folder titled "IMAGES." Within that folder, are two folders: "001" and "002." Folder "001" contains 1,000 PDFs: SUI003471 to SUI005428. "Folder "002" contains 216 PDFs SUI005430 to SUI005861.

The zip files provided as exhibits 1A and 1B show the exact folder structure. Based on this, Seafrigo has lied about the labeled folders and has falsified information in its submission to the ALJ. In Seafrigo's filing on June 21, 2023, Seafrigo no longer argued that "Seafrigo provided folders reflecting the shipping documents and communications related to specific invoices" as it had argued in its Response brief. Seafrigo Response at 41. Thus, it has made untrue statements in its filings.

The Initial Decision outlined that sanctions were not appropriate because Seafrigo produced documents in the regular course and that the regular course included backup per invoice. But Seafrigo did not produce documents in labeled folders during discovery. Thus, that inference for Seafrigo is not merited, and the inference also does not hold within the duplicative invoices argument because back up was not regularly sent to Bakerly. The ALJ's inference in favor of Seafrigo is not merited as shown in the record, but it also led to erroneous findings as to Bakerly's showing for duplicative invoices.

Argument

I. The ALJ erred as a matter of law by not applying the Interpretive Rule.

The Interpretive Rule predates OSRA 2022, and the ALJ should have applied the Interpretive Rule's standards. OSRA 2022 codified some of the FMC's regulations in statute. One of which was the Interpretive Rule, which includes the Incentive Principle and the Demurrage and Detention Policy. 46 C.F.R. § 545. In 2022, the reasonableness standard was codified by the enactment of OSRA 2022. Pub. L. 117–146, §1, June 16, 2022, 136 Stat. 1272. Seafrigo attempts to skirt its obligations to adhere to the reasonableness standard codified at 46 C.F.R. § 545.4 in May 2020 (*Interpretive Rule on Demurrage and Detention under the Shipping Act*, 85 Fed. Reg. 29,638 (May 18, 2020)) by asserting that the shipments at issue took place prior to OSRA's enactment. This flawed reasoning fails to acknowledge the clear fact that reasonableness obligations existed prior to OSRA codification in 2022. OSRA 2022 has to a large extent codified the Interpretive Rule effective June 16, 2022, but the Interpretive Rule was in effect during the whole period of the transactions subject of this proceeding.

II. The ALJ's Findings Should be Excepted as to the Filed Rate Doctrine because Complainants Have Established a Violation of the Filed Rate Doctrine, Section 41104(A)(2)(A).

Bakerly established that Seafrigo violated the Filed Rate Doctrine pursuant to Section 41104(a)(2)(A). As shown below, this conclusion is supported because (A) Seafrigo undertook the risk and responsibility for the demurrage charges that were caused by third parties and caused by Seafrigo pursuant to its Rules Tariff; (B) any uncertainty in the Rules Tariff should be construed against Seafrigo as carrier and the drafter of the pertinent Rules Tariff ; (C) the terms and conditions of the Rules Tariff have the full force of the Filed Rate and must be enforced accordingly; (D) assessing demurrage charges to Bakerly for delays under door-to-door terms serves no incentivizing principle and does not promote freight fluidity; (E) the Filed Rate Doctrine does not insulate the shipper customers nor the carrier itself for cost burdens resulting from the carrier's own allocations of cost risks that are a direct result of the pertinent Rules that caused the result; and (F) the course of conduct by the parties does not dictate interpretation of Seafrigo's Rules Tariff .

A. Seafrigo's Rules Tariff Allocates demurrage risks and expenses to Seafrigo as merchant for door delivery shipments when demurrage is caused by a third party or by Seafrigo.

The record reflects that all parties agree the shipments were on a door delivery basis. In order to ascertain which party is liable for demurrage in a door delivery, the provisions must be reasonably interpreted in conjunction with each other. As we have noted previously, Rule 17 which deals with the "Use Of Equipment" provides relevant context as to the merchant and carrier's liability. Further, as will be discussed in Section II.B below, what is included and not included in Rule 15 is also pertinent in interpreting the meaning of that Rule.

Rule 17 USE OF EQUIPMENT (pertinent parts to be quoted below)

17.1 General Provisions

...

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or by the Merchant. containers). Merchants use of chassis and containers shall be subject to the requirements of the VOCCs and/or chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and other charges that accrue with respect to containers and chassis used for such transportation, **all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.**(Emphasis supplied).

17.2 Merchants Risk and Exposure

Except as otherwise specifically provided in this Rule, and Carriers bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pick up, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, **except to the extent the goods are door cargo; and** (Emphasis supplied).

Rule 17.1 provides that, if and when the Carrier (Seafrigo) acts as an agent for Merchant (Bakerly) with respect to third party leasing companies (for chassis and containers), Carrier, as Merchant's agent shall be responsible only for what is attributable to its own actions or omissions. Rule 17.2 then draws the conclusion as for the Risks borne by the Merchant, notably excepting the Merchant for risk on door delivery orders (except, logically, for the sole care and custody of equipment when it is detained by the Merchant).

The ALJ concluded that Rule 17.2 does not clearly apply to demurrage and detention ID at 49. However, the language as described in 17.2 includes activity "related to the pickup." Further, when interpreting Rule 17, both sections must be interpreted together, to avoid rendering Rule 17.2 as mere surplusage. The Surplusage Canon requires that "[i]f possible . . . every provision is to be given effect[, and n]one should needlessly be given an interpretation that causes it to duplicate another provision or to have no consequence." A. Scalia & B. Garner, Reading Law: The

Interpretation of Legal Texts 171–74 (2012). As written, 17.1 makes Seafrigo liable for charges “solely attributable to actions or omissions of Carrier [Seafrigo],” and 17.2 renders Merchant (Bakerly) liable for charges and risk of these charges, “except to the extent the goods are door cargo.” Thus, under Rule 17.2 Bakerly is not liable for charges nor risks related to “[u]se of [e]quipment” when the goods are door cargo. And Seafrigo is liable under Rule 17.1 for equipment charges related to its actions or omissions.

B. Any uncertainty regarding liability for demurrage should be construed against Seafrigo as the carrier.

The ALJ described Rule 15 as “confusing” and “ambiguous,” (ID at 49), but failed to provide an interpretation based on the text of the Rule. As carrier, the terms of the Rules Tariff must be interpreted against Seafrigo based on FMC case law dating back almost a century to the United State Shipping Board.⁸ Rule 15 provides clear delineation between the liability of the carrier and the merchant for each charge. Rule 15.2 specifically addresses detention charges and Rule 15.3 addresses instances where the merchant is responsible for demurrage. The rules relating to Demurrage and Detention are set by Rule 15, with a clear and unambiguous standard that the party which is operationally responsible for the pickup of loaded containers bears the legal responsibility for demurrage. That principle is spelled out loud and clear without any

⁸ It is true that tariffs must be construed strictly and that wherever they are ambiguous the doubt should be resolved against carrier. Nevertheless, a fair and reasonable construction must be given. The terms in question must be construed in the sense in which they are generally understood and accepted commercially. Shippers cannot be permitted to avail themselves of a strained and unnatural construction. *Thomas G. Crowe v. Southern Steamship Co.*, 1 F.M.C. 145, 147 (1929).

Where a question of tariff interpretation is in issue, indefiniteness and ambiguity of tariff provisions, which in reasonableness permit of misunderstanding and doubt by shippers, require interpretation of such provisions against the carrier. *The Gelfand Manu. Co. v. Bull Steamship Line, Inc.*, 1 F.M.C. 169, 170-171 (1930).

equivocation. The exclusion of the door-to-door dynamic makes it clear that in that circumstance the merchant does not bear legal responsibility for demurrage.

Seafrigo Tariff Rule 15, under the heading “FREE TIME, DETENTION AND DEMURRAGE,” states:

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that operates the vessel transporting the cargo.

15.2 The VOCC imposes **detention charges** if empty containers released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time). Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

15.3 The VOCC imposes **demurrage charges** if loaded containers are not removed from the marine terminal within a specified period of time (free time). **Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant**, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

The relevant language from 15.3, of course, provides the sole instance when demurrage can be attributed to the merchant: when “Service is port at destination” and “removal of the containers from the VOCC’s marine terminal is the responsibility of the merchant.” Neither prerequisite is applicable here because these are door-to-door shipments—not Port service—and Bakerly held no responsibility for container removal (again, because these are door-to-door moves). The clear meaning of this section which deals directly with “FREE TIME, DETENTION AND DEMURRAGE”, by its deliberate exclusion by carrier itself, is that merchant is not liable for demurrage when service is door-to-door—i.e., since in that service mode the merchant is not responsible for the removal of containers from the VOCC’s terminal.

That is neither confusing, nor ambiguous by any standard of interpretation, and fully consistent with the standard set by Rule 15.3.

Because Rule 15.3 outlines that merchant is liable for demurrage charges only in Port Delivery and is silent on door delivery, this provision cannot be applied to door delivery. The fact that Seafrigo drafted 15.3 limiting the merchant's responsibility to "when service is port at destination" cannot be ignored as ambiguous and confusing when its meaning is explicitly clear. Further, it is a logical and appropriate inference to make that when the Rules drafted by Seafrigo exempt demurrage for Merchant on a door delivery transaction, that since the underlying ocean carrier is invoicing the NVOCC, Seafrigo, in this case, it is intended to mean that for door deliveries Seafrigo would be liable for that demurrage, if Bakerly did not directly cause the resulting demurrage (as provided in Rule 17).

The ALJ further noted that Seafrigo's quarterly rate proposals state that the "Rate Proposal does not include demurrage and detention charges, for which the shipper and/or consignee may be liable and port terminal handling charges" and that each of Seafrigo's quarterly rate proposals included Seafrigo's USA Standard Accessorials Tariff listing per diem charge as "[a]t cost per terminal or carrier" and both demurrage and detention as "[a]t cost per carrier." The Rate Quotation does not make Bakerly liable for demurrage. Instead, it states that Bakerly *may* be liable for D&D under certain circumstances, such as when the service is to port at destination: "Rate Proposal does not include demurrage and detention charges for which the shipper and/or consignee **may be liable** and port terminal handling charges." (Emphasis added). The NRAs also include a "Standard Accessorials [sic] Tariff" "**only if applicable**" that lists "Per diem Charge At cost per terminal or carrier" and demurrage and detention "At cost per carrier." Therefore, the Rules Tariff and bill of lading terms outline **that when Bakerly is liable and**

when the Accessorial Tariffs are applicable to Bakerly, by describing possible rather than definite liability, there is no merit in using these terms to conclude Bakerly is liable for demurrage in this instance. Rather, the conditional words “may” and “if” should be interpreted given their ordinary meanings—and in light of Rules 15 and 17. A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 69–77 (2012).

C. The terms and conditions of the tariff have the full force of the filed rate and should be enforced as such.

“Maritime contracts ‘must be construed like any other contracts: by their terms and consistent with the intent of the parties.’” *CITGO Asphalt Ref. Co. v. Frescati Shipping Co., Ltd.*, 589 U.S. ____ ; 140 S. Ct. 1081, 1087–88 (2020) (citing *Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 31 (2004); 2 T. Schoenbaum, *Admiralty & Maritime Law* § 11:2, p. 7 (6th ed. 2018) (“[F]ederal maritime law includes general principles of contract law”). The language derived from the NRA, Rules Tariff, and Bill of Lading indicate that risk of demurrage charges is allocated to Seafrigo except in the specific instance where Bakerly may be culpable, as the cause of the charge in Port delivery circumstances. The Commission in its decision should consider the language drafted by Seafrigo limiting Bakerly’s liability for demurrage on door delivery, and the weight of Seafrigo’s drafted terms. There are no confusing and ambiguous terms in Rules 15.3 and Rule 17 in the relegation of demurrage liability to Seafrigo on door delivery transactions when Seafrigo was the party with the task of picking up the loaded containers with exclusive control of the equipment to accomplish those tasks. The Rules also clearly allocate that risk to Bakerly in the context of port delivery transactions.

In agreeance with the ALJ, we note that the Filed Rate Doctrine has been consistently applied and upheld. *Sanrio Co., Ltd. v. Maersk Line*, 23 F.M.C. 150, 194-97 (1980); 20 F.M.C. 411 (1978), 20 F.M.C. 361 (1965). *Ludwig Mueller Co., Inc. v. Peralta Shipping Corp.*, 8 F.M.C.

361 (1965). However, the Filed Rate Doctrine encompasses more than the rate to be charged, and it should not be construed so narrowly as to only impact modifications of the rate. *In re Calpine Corp.*, 337 B.R. 27, 38 (S.D.N.Y. 2006). To place less importance on the terms included with the filed rate minimizes the importance of adhering to all terms which the rate encompasses. The essence of the Filed Rate Doctrine is that the regulatory structure requires strict adherence to the Rate and Rules in Tariffs, despite how unfair the effect may be on the parties. *See Thurston Motor Lines, Inc. v. Jordan K. Rand Ltd.*, 460 U.S. 533 (1983); *Baldwin v. Scott County Milling Co.*, 307 U.S. 478 (1939); *Louisville & Nashville R. Co. v. Central Iron & Coal Co.*, 265 U.S. 59 (1924).

Here, the Rules Tariff language between the parties is clear that Bakerly is not liable for demurrage charges because of the door delivery terms. Seafrigo itself has included its liability on shipments involving door delivery and no other term of the agreement (either Rules Tariff or bill of lading terms) between Seafrigo and Bakerly shifts the assignment of risk to Bakerly under door delivery. Accordingly, the Filed Rate Doctrine should be applied in full and Seafrigo held liable for demurrage based on the terms it created. In fact, the integrity of the entire Shipping Act is strictly interwoven into the rationale of the Filed Rate Doctrine. The Filed Rate Doctrine is clearly equally applicable to Rules/Rates/Regulations that impact not only on shippers but also ocean common carriers.

D. Assessing demurrage charges to Bakerly for delays under door-to-door terms serves no incentivizing principle and does not promote freight fluidity.

Both parties agree that Bakerly paid Seafrigo for a shipping service to pick up loaded containers for door delivery. Bakerly interprets the risk assigned under Seafrigo's terms for a door move consistent with the standard allocation of risks for a door move. "In a carrier haulage arrangement, also referred to as "store door" delivery or a "door move" or "door-to-door"

transportation, the ocean carrier is responsible for arranging transport of a container from the terminal to another location, such as a consignee warehouse. In other words, the ocean common carrier provides drayage trucking.” See 85 Fed. Reg. at 29,641. Door delivery means, quite specifically, that Seafrigo has the responsibility to remove containers from the terminal. Containers moving on door terms are not within Bakerly’s control when Seafrigo is responsible for the pickup from the port. As Bakerly is not responsible for the inland portion of the transportation, charging Bakerly for delays under door moves is counterintuitive. In essence, it serves no incentivizing purpose and does nothing to promote freight fluidity. 46 C.F.R. § 545. The fact of the matter is that the ocean common carrier with door delivery obligations has full control of the process. Here Seafrigo had full control of picking up the loaded container from the terminal, and Bakerly had zero control. There could be no incentivizing principle in play in this circumstance as to Bakerly.

Seafrigo is bound by the terms of its own Rules Tariff and Bill of Lading terms and conditions which allocate demurrage risk to Seafrigo even when neither Bakerly nor Seafrigo are directly culpable for the demurrage on these door delivery moves. Bakerly had no responsibility to remove the loaded containers. Further, Seafrigo’s own terms and conditions allocated third-party risks to the Merchant unless the shipments are door cargo. Rule 17.2.1. And, as previously stated, this interpretation aligns with the principles of a door move by having the party that is operationally in charge bear the risks and responsibilities. To do otherwise is counterintuitive to how a door move is structured operationally.

E. The Filed Rate Doctrine Does Not Insulate a Carrier for Harm Caused.

Supreme Court precedent in *Maislin* upholds a prevailing standard for enforcing rates between a carrier and shipper. As the ALJ noted in its decision, “carrier must charge the rates duly filed under law in the carrier’s tariffs and if those rates are reasonable under the applicable

law the carrier must charge them notwithstanding misrepresentations by carriers' agents, ignorance of the filed rates by the shippers, or virtually any other defense that shippers could raise against the carriers' demands for payment of the duly filed tariff rates." *Maislin Industries, U.S. v. Primary Steel, Inc.*, 497 U.S. 116 (1990). The ALJ further noted that the doctrine is applied "regardless of equities and possible hardship on shippers." Notwithstanding the standard described above referenced shippers' obligations pursuant to the doctrine, *Maislin* equally establishes the principle that the ocean common carriers likewise are subject to the Filed Rate Doctrine regardless of equities and possible hardships on ocean common carriers. Supreme Court precedent provides protection for shippers by providing that "when a carrier violates some substantive provision of applicable law and the complaining party is not asking that an unfiled, negotiated rate be applied because the complainant relied on that rate [. . .] the 'filed rate doctrine' will not suffice to insulate the carrier from liability for harm caused a shipper." *Total Fitness Equip., Inc. v. Worldlink Logistics, Inc.*, 1998 WL 940255 (FMC 1998) (citing *Maislin*, 497 U.S. 116 (1990); *Reiter v. Cooper*, 507 U.S. 258 (1993)).

Bakerly is not alleging that Seafrigo quoted one rate and then charged another; nor is Bakerly asserting that an unfiled negotiated rate be applied. Instead, Bakerly seeks to hold Seafrigo accountable for the terms in which Seafrigo made in its own rules tariff allocating risk for demurrage to itself in door moves, which is a principle supported by the Incentivizing Rules. As *Maislin* affirms, "The legal rights of shipper as against carrier in respect to a rate are measured by the published tariff." *Maislin*, 497 U.S. at 128. Seafrigo's published tariff indicates in Rule 15.3 that demurrage charges are the merchant's responsibility "[w]here service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant." Therefore, it is Bakerly's right as a shipper to have the totality of Seafrigo's

published tariff including the terms of liability be binding on both parties—i.e., on door delivery transport Seafrigo has allocated liability to itself: the party that controls the delivery to door process.

The ALJ cited *Taylor's Resources*, where the Commission dismissed a Section 41104(a)(2)(A) claim finding that Mitsui's actions were "consistent with the applicable tariff, the service contract, and the waybill" after Complainant asserted that "Mitsui unreasonably delayed disposal of the unclaimed cargo and then collected excessive detention/demurrage fees." *Taylor's Resources, Inc. (USA) v. Mitsui O.S.K. Lines Ltd.*, Docket No. 1954(I), 2018 WL 1757672, at *5 (FMC Apr. 4, 2018). ID at 39. Specifically, the service contract which incorporated the tariff, and the bill of lading all showed a clear and consistent time for free detention time. Unlike in *Taylor's Resources* however, Seafrigo's actions have not been consistent with its tariff. Seafrigo is attempting to collect demurrage fees for charges that, according to its tariff, are the responsibility of Seafrigo and not Bakerly's responsibility as merchant on a door move. Consistent with the ALJ's cited precedent, "the filed rate doctrine does not function as a *carte blanche* to justify whatever action a carrier believes is appropriate" (ID at 39 (citing *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, Docket No. 1831(F), 1998 WL 940255, at *4-5 (FMC Dec. 10, 1998)) and thus Seafrigo should be prevented from obtaining fees for demurrage to which it is not entitled.

F. The Course of Conduct by the Parties Does not Dictate Interpretation of Seafrigo's Rules Tariff.

The ALJ improperly agreed with Seafrigo that the parties' "course of conduct" eclipses the Filed Rate Doctrine by allowing Seafrigo to act in contradiction to the terms of the Rules Tariff. ID at 51. But there is no evidentiary proof that Bakerly accepted this understanding. More importantly, Bakerly's actual knowledge of the Rules Tariff is irrelevant to its legal weight. In

fact, even if Bakerly had formed an improper belief about the Rules Tariff, the terms in the Rules apply. *Am. Tel. and Tel. Co. v. Central Office Tel., Inc.*, 524 U.S. 214, 222 (1998) (citing *Kansas City Southern R. Co. v. Carl*, 227 U.S. 639, 653 (1913) (“Ignorance or misquotation of rates is not an excuse for paying or charging either less or more than the rate filed. **This rule is undeniably strict, and it obviously may work a hardship in some cases**, but it embodies the policy which has been adopted by Congress.”) (Emphasis added)).

The extent to which custom usage or course of dealing of the parties may be used in construing a tariff is limited [. . . and] may not be employed to vary the ‘plain meaning’ of express language in a tariff.” *Sacramento-Yolo Port Dist. V. Fred F. Noonan Co.*, 9 FMC 551, 559-60 (1966). Course of dealing is “properly confined to a situation where it is necessary to use the language [. . .] to establish a usage of trade or locality which attaches provisions not expressed in the language of the instrument.” *Id.* at 559-60. Importantly, “[n]either this Commission nor its predecessors have ever employed evidence of matters extrinsic to clear tariff language to supplement such language,” and have “limited [use of extrinsic evidence] to the interpretation of technical words in a tariff.” *Id.* at 559-60.

Thus, because the risk allocation of demurrage charges is clear in the tariff and because extrinsic evidence is limited to understand a technical word in a tariff, the Rules Tariff should have been interpreted based on the plain meaning of the Rules, as has been the principle for over fifty years.

III. The ALJ’s Findings Should be Excepted as to the Duplicative Invoicing Because Seafrigo had a Practice of Unjust and Unreasonable Invoicing.

Based on factual and legal errors, the Commission should except factual findings and legal conclusions from the ALJ’s Initial Decision that led to a finding that Seafrigo’s

unreasonable practice and policy of sending duplicative invoices were lawful under the Interpretive Rule, as a violation of the Shipping Act at Section 41102(c).

First, the ALJ errs in legal and factual findings related to Seafrigo’s duplicative invoicing by failing to address Seafrigo’s own spreadsheet (CX01406) that Seafrigo used to categorize charges and by failing to hold that Seafrigo’s overcharges were Shipping Act violations. Second, the ALJ misinterpreted case law that requires NVOs to provide substantiation for invoices. Third, the ALJ failed to recognize Seafrigo’s duplicative invoicing practice as a normal, customary, and continuous basis under 46 C.F.R. § 545.4.

Bakerly used the term “duplicative” to describe Seafrigo’s invoicing practice. This practice is unjust and unreasonable because it was inaccurate, did not provide required information, and led to overcharges.

Seafrigo was required to observe and enforce reasonable practices under 46 U.S.C. § 41102(c): “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

Seafrigo had a practice of issuing duplicative⁹ invoices for detention, demurrage, and per diem and the practice was unjust and unreasonable. 46 C.F.R. § 545.4. (PFF ¶ 32-48.) The

⁹ By “duplicative invoicing,” Bakerly means that Seafrigo issued multiple invoices for one activity (such as demurrage, detention, per diem, freight, accessories) without providing the information necessary to explain the invoice: “who is being charged, for what, by whom, and how disputes can be addressed in a timely fashion.” *Notice of Proposed Rulemaking: Interpretive Rule on Demurrage and Detention Under the Shipping Act* (Notice Interpretive Rule), 84 Fed. Reg. 48850, 48853, 48855 (Fed. Mar. Comm’n Sept. 17, 2019).

This means that Seafrigo would issue, for example, four demurrage invoices—each with a portion of the total demurrage but without any reference to how many demurrage invoices would be sent and without the underlying invoice referenced or included. Even on the final demurrage invoice, Seafrigo would not state that it was the final invoice or that demurrage was

Commission has stated that “[t]he test of reasonableness” for practices is that “the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.”” *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, 2014 FMC LEXIS 36, at *19 (Docket 11-12) (Order Affirming Dismissal of Complaint) (FMC Nov. 20, 2014) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Autk*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980)). This practice totaled \$1,040,254.65 in detention and demurrage charges. (PFF ¶ 34.) As to the specific examples that Bakerly highlights for duplicative invoicing, Seafrigo also fails to cite any backup documentation that was sent in “real-time” as alleged and failed to provide that documentation in discovery. (PFF ¶¶ 32-48; Seafrigo replies.) Thus, the ALJ should have weighed the evidence cited in Al Raffa’s affidavit against that lack of evidence.

A. The ALJ erred in legal and factual findings related to Duplicative Invoicing.

The Initial Decision mischaracterized Bakerly’s argument that Seafrigo had unjust and unreasonable practices as relating to pass-through demurrage and detention invoices, supplemental invoices, “lack of drivers, chassis, or genset availability,” and “sloppy recordkeeping.” ID at 47. Bakerly, instead, argued that Seafrigo’s invoicing practice was unjust and unreasonable. Yes, Bakerly argued that Seafrigo lacked appropriate systemic controls, but that failure was more than mere *sloppiness*. Instead, it led to over-charging by Seafrigo (PFF ¶

completed. Bakerly was left with no information about the total of demurrage and just had multiple invoices to sort through.

Based on this flawed invoicing system, Seafrigo overcharged Bakerly. But Bakerly cannot identify exactly how much Bakerly was overcharged because Bakerly does not have the underlying information, even though it was requested in discovery, because this information is in Seafrigo’s sole custody and control. Notably, these are invoices from Seafrigo and Seafrigo is unable to explain or support them. That is not a defect over which Bakerly has any control.

45-48), countless hours of Bakerly labor to identify the charges (PFF ¶ 27), and the impetus for this litigation because it is unjust and unreasonable. Notably, Seafrigo overcharged more than the overcharges to which Seafrigo admits. Yet, the Initial Decision only cited the overcharges that Seafrigo admits. And the ALJ still failed to properly make a finding that Seafrigo violated the Shipping Act with respect to those charges.

But Seafrigo is not even credible on the overcharges that it admits and even with these Seafrigo admissions the ALJ improperly weighed or ignored the evidence. First, the ALJ does not address the admissions in Seafrigo's own spreadsheet—that Seafrigo, oddly, denies in its PFF replies but that Seafrigo provided in discovery.¹⁰ PFF ¶¶ 70, 83. Second, Seafrigo disputes that it overcharged Bakerly based on a 3.99% finance charge, but the overcharge was 42% and not 3.99%.¹¹ PFF ¶¶ 47-48 & Seafrigo responses 47-48.

Further, the Initial Decision misidentifies the legal basis for this argument. “Bakerly does not identify which section of the Shipping Act or NSA/NRA Final Rule it alleges supports its position that charges must be substantiated with invoices, however, it is presumed that Bakerly is referring to the Commission's discussion of the *Gruenberg-Reisner v. Overseas Moving Specialists (FMC)* case.” ID at 55. But contrary to the ALJ's unsupported conclusions, Bakerly

¹⁰ Bakerly PFF ¶¶ 70, 83(a)-(c) quotes Seafrigo's own spreadsheet and yet Seafrigo denies the information as accurate.

¹¹ For Container SEGU9420024, Seafrigo claims that Maher Terminal's finance fee accounts for the discrepancy at 3.99%—an absurd explanation at best because Seafrigo does not explain whether the \$8k figure or the \$11k figure were proper. PFF 47-48 & Seafrigo responses. And in either case, 3.99% would at most explain a \$334.28 to \$463.28 difference in charges, *not* a discrepancy between \$1,885.86 and \$5,118.86.

For Container SEGU9388853, Seafrigo also claims that a 3.99% finance charge explains a 42% overcharge. PFF 44-46 & Seafrigo responses. 42% is not a rounding error, as Seafrigo claims. Seafrigo Resp. at 15.

clearly identifies the regulations that were in effect prior to OSRA 2022: “Seafrigo failed to substantiate the duplicative invoices with the underlying invoice between the ocean terminal or carrier, as required under Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements, 83 Fed. Reg. 34780 (citing *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016)).” Bakerly Br. at 48.

1. The ALJ failed to address Seafrigo’s own spreadsheet, categorizing charges.

The ALJ does not address any of the admissions in Seafrigo’s own spreadsheet that outline the causes of the charges. Seafrigo provided a spreadsheet that categorized the charges as Bakerly’s fault, Seafrigo’s fault, and the fault of third parties. (CX01406). Bakerly, at great length, described how, based on Seafrigo’s *own* admissions in its own spreadsheet, and why Seafrigo’s spreadsheet lacked credibility. Additionally, the ALJ accepted the charges that Seafrigo says were caused by Seafrigo (ID at 55, 59, 61, 63), but even Seafrigo disputes each of the notes that are in Seafrigo’s own spreadsheet. *See* Seafrigo Response to Bakerly PFFs ¶¶ 81 to 83(a), (b), (c).

2. The ALJ failed to deem Seafrigo’s overcharges as a Shipping Act Violation.

The Initial Decision stated that “if there were any overcharges, they would violate the Shipping Act as both an unreasonable practice and a violation of the filed rate doctrine” and yet, instead of finding that Seafrigo’s overcharges were both types of violations, the ALJ held, “the record does not support finding that Seafrigo overcharged Bakerly by more than the amount for which Seafrigo already accepts responsibility.” ID at 65. Seafrigo fails to properly account for the overcharges. Seafrigo agrees to have some overcharges, in its brief PFF ¶¶ 47-48, 44-46 & Seafrigo responses, but with other overcharges, Seafrigo provides an unsupportable and illogical

explanation that the 42% overcharge is explained by a 3.99% finance charge (for example, on Container SEGU9388853, Seafrigo charged \$28,761.43, when it should have charged \$16,698.00 and the overcharge of \$12,063.43 is 42% of \$28,761.43).

B. The ALJ misinterpreted the case law that requires carriers to provide substantiation with alleged “pass-through” invoices.

“In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). The Commission’s regulations at 46 C.F.R. § 545.5(d) further state that “[t]he Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing.”

While the burden is on the complainant to show that the charges were unreasonable, “the fact of **substantial surcharges alone is sufficient to require** the carrier to come forward with some proof of their propriety” *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969) (emphasis added). The Respondent in *C.H. Leavell* made a “showing of increased voyage distance and duration” that the FMC found was “sufficient to overcome any presumption of unreasonableness.” *Id.* Due to that, the FMC found that “there is no basis for a finding that the surcharges assessed were unreasonable in the complete absence of any proof of unreasonableness.” *Id.* Instead, based on that Respondent’s showing, “the record support[ed] a positive finding that the surcharges assessed for the extra services rendered to complainant’s cargoes [were] a reasonable extra charge for such services” but no such inference can be made

on the record here, in favor of Seafrigo. *C.H. Leavell*, 13 F.M.C. at 89. Seafrigo did not provide a showing that overcame the presumption of unreasonableness as shown by Bakerly.

The ALJ misinterprets *Gruenberg-Reisner* and *C.H. Leavell* and misapplies the principles to this case. In both of these cases, the shipper raises concerns about the unjust or unreasonable nature of the invoicing, as Bakerly does here. But unlike this case, the NVO in those cases was able to provide a rationale for the charges. Here, Seafrigo provides no rationale for the invoicing process. Seafrigo merely explains that the invoices had to be paid in order for the containers to be released, but this does not explain multiple invoices for demurrage. Additionally, because this practice led to overcharging, Seafrigo also does not explain the overcharges. In one case, Seafrigo agrees to have overcharged, which is a Shipping Act violation.¹² But with other overcharges, Seafrigo provides an unconscionable explanation that the 42% overcharge is explained by a 3.99% finance charge, as is referenced repeatedly herein.

For container SEGU9388853, Seafrigo admits to overcharging Bakerly \$8,879.55. PFF and Seafrigo Response ¶ 46. But Seafrigo did not update its spreadsheet to show that invoice IMP10-21-07836 was Seafrigo's fault. Instead, Seafrigo categorized that the invoice was the fault of Bakerly's warehouse. PFF and Seafrigo Response ¶ 46 (showing that for container SEGU9388853, Seafrigo charged "6 transactions totaling \$28,761.43 and all those transactions are assigned to "Bakerly Warehouse" under the column "AA" "PH 3 - Cause of charge.").

¹² The ID notes that Seafrigo overcharged Bakerly but states that Seafrigo is not maintaining its demand of payment. ID at 65. But this is not true. Seafrigo has not returned this money or updated its spreadsheet as to the cause of these charges. The overcharge must be held to be a Shipping Act violation. And Seafrigo must return the amounts that were overcharged. Additionally, Seafrigo must identify the amounts that were overcharged. Seafrigo fails to identify the proper amounts that should have been charged and the resulting overcharge.

Additionally, for container SEGU9420024, Seafrigo charged Bakerly \$13,496.86 for demurrage. PFF and Seafrigo Response ¶ 48. Bakerly—with the limited information provided by Seafrigo—cannot identify the proper amount it should have been charged. *Id.* But by either the Maher Terminal or the Hapag rates, Bakerly can identify that it was charged the *wrong* amount. *Id.* Based on the Maher Terminal rate, Seafrigo should have passed through \$8,378 or based on the Hapag demurrage rates should have passed through \$11,611.00. *Id.*

When responding to this factual scenario does Seafrigo outline which amount was correct? Or does Seafrigo provide any evidence that the proper amount was charged? It does not. Instead, Seafrigo obfuscates with an illogical response that Bakerly has forgotten to include a 3.99% finance charge in its calculation for the \$11,610 charge. *Id.* But in either case, 3.99% would at most explain a \$334.28 to \$463.28 difference in charges, *not* a discrepancy between \$1,885.86 and \$5,118.86. *Id.* Thus, even on Seafrigo’s own admission, with the finance charge, the total should have been \$12,074.278. But this does not explain the invoice. Seafrigo did not charge \$12,074.28 to Bakerly. *Id.* Seafrigo’s alleged pass through was for \$13,496.86. *Id.* Therefore, Seafrigo still has no explanation for the \$13,496.86 charge. *Id.* Seafrigo cannot even clarify the exact amount that it overcharged Bakerly—how could the ALJ not deem this as a Shipping Act violation? This is, by definition, an unreasonable explanation—and it goes ignored by the ALJ.

Gruenberg-Reisner outlines that charges can be passed through “to reimburse the carriers for additional costs.” *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, at 14 (FMC 2016). “Thus, assessing pass-through charges *with no markup* is a just and reasonable practice” under Section 41102(c).¹³ *Id.* at 15. Upon being challenged by the shipper as unjust and

¹³ The ID improperly holds that “substantiated with invoices” is descriptive and not prescriptive, as that explanation stretches the case law too far. Because both *Gruenberg-Reisner* and *C.H. Leavell* require evidence to form the basis for the charge, which clearly is prescriptive.

unreasonable, the carrier provided the underlying invoices. *Gruenberg-Reisner* at 15. The Commission found that charges in the rules tariff that were supported by the underlying invoices were reasonable. *Id.* at 15. However, the carrier was not able to provide some of the underlying invoices on fuel surcharge and terminal handling. *Id.* at 16. The Commission found that the carrier was not given enough time to provide the “supporting documentation for the charges.” *Id.* at 16. And those charges were remanded to determine whether they were reasonable, and the Commission directed the ALJ to request the underlying invoices again and to look at other NVO’s practices, if necessary. *Id.* at 16. No such investigation was even considered by the ALJ, even less completed, in this case. Instead, after seeing examples of overcharging and erratic invoicing practices, the ALJ does not investigate further into Seafrigo’s explanation. If the ALJ had, it would have been obvious that Seafrigo admitted to Shipping Act violations of overcharging and tried to explain a 42% overcharge with a 3.99% finance charge (PFF ¶¶ 47-48 & Seafrigo responses). These were clearly legal shortcomings in the Initial Decision.

Finally, on remand, the shipper in *Gruenberg-Reisner* met the burden to show that the charges were unreasonable based on an affidavit by someone “who has substantial experience in the NVOCC business” and provided credible testimony that the charges were unreasonably high and that the carrier failed to rebut the evidence because the carrier could not provide the underlying invoices to substantiate the charges and could not provide evidence that the charges were reasonable. *Gruenberg-Reisner v. Overseas Moving Specialists*, 2017 WL 2241031 at *18-19 (FMC 2017) (decision on remand).

Finally, the ALJ cited to *C.H. Leavell* to support the finding that substantiation is not always required for pass-through charges. *Id.* at 56. But the carrier in *C.H. Leavell* made a showing as to the increased charges. Specifically, the Commission in *C.H. Leavell*, reviewed

additional charges resulting from an emergency rerouting. *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 86 (FMC 1969). The tariff contained a provision allowing for such additional charges. *C.H. Leavell*, 13 F.M.C. at 82-83. And the question was whether the additional charges were permitted and if the amount of the charge was reasonable. *Id.* at 83. The Commission did not hold that proof of the invoices had to be shown—in very different circumstances than what we have here—because, in that case, there was a “complete absence of any proof of unreasonableness.” *Id.* at 89. That is irrelevant here, because Seafrigo did not issue the detention and demurrage invoices under an emergent provision in its tariff, so *C.H. Leavell* does not apply. Further, there is not a “complete absence of any proof of unreasonableness,” because Bakerly has demonstrated overcharges and Seafrigo has failed to provide *any* documentation that supports reasonableness.

As shown above, Bakerly’s persistent requests for backup documentation and Seafrigo’s failure to provide backup documentation in real-time and in discovery is not, as the ID stated, merely a preference by a shipper to receive invoices in a specific manner. ID at 57. Instead, this is a policy that is unreasonable to the point of leading to overcharges that are so convoluted that not even Seafrigo can explain it reasonably.

C. Bakerly Proved that Seafrigo’s Duplicative Invoicing was on a Normal, Customary, and Continuous Basis.

Under 46 C.F.R. § 545.4, the following elements prove an “unjust and unreasonable practice” claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;

(d) The practice or regulation is unjust or unreasonable; and

(e) The practice or regulation is the proximate cause of the claimed loss.

The Commission has described practices that occur on “a normal, customary, and continuous basis” as “the manner in which a respondent carries out its business dealings.” *Crocus Investments, LLC & Crocus, Fze, Complainant, v. Marine Transport Logistics, Inc., Respondents.*, 2021 WL 3732849, at *8 (citing 83 Fed. Reg. at 64479). *See also Crocus Investments, LLC*, 2021 WL 3732849, at *8 (citing *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 178, 201 (FMC 1964) (discussing that a practice has “uniformity,” “is something that is habitually performed,” and “implies continuity” but without deciding the issue because the issue was decidedly not unjust and unreasonable)).

Bakerly does not provide in-depth of analysis on every example of duplicative invoices in the \$1,040,254.65 worth of charges (which would be an impossibility given Seafrigo’s confusing and incomplete documentation), but Bakerly has sufficiently outlined the *practice*. For the examples that Bakerly was able to provide, **Seafrigo either agreed to the overcharge or failed to make a credible explanation**. PFF ¶¶ 44-48 and Seafrigo Replies 44-48. But this practice took place for all the invoices listed in Exhibit 8 of the Complaint for over one hundred shipments and \$1,040,254.65 in demurrage and detention charges. PFF ¶ 34. And most notable, Seafrigo also admits to the duplicative invoicing practice:

- PFF ¶ 35: Seafrigo stated the following: “As Bakerly should be well aware, third parties such as steamship lines and marine terminal operators frequently issue supplemental invoices related to the same shipment reflecting additional charges which have accrued over time. NVOs such as Seafrigo pass through such charges to their customers” (Seafrigo Response to Bakerly’s First Set of Interrogatories No. 13). Seafrigo responded. Note that this is a quote from Seafrigo’s response to an interrogatory issued by Bakerly.
- PFF ¶ 41: Seafrigo admitted in its Answer that multiple invoices are “a common practice in the industry whereby supplemental invoices have to be issued when

demurrage or detention continues to accrue,” Note that this is a quote from Seafrigo’s Answer at ¶ 17.

Additionally, PFF ¶ 36 quotes Seafrigo’s response to Bakerly’s document request, in **which Seafrigo stated that it did not have the obligation to provide any supporting documentation for these charges.** PFF ¶ 36. This is a critical point: Seafrigo itself deems that its practice does not even attempt to support the additional charges it passes through. Based on this, Bakerly need not prove that Seafrigo had this normal, customary practice because Seafrigo admits to it itself.

IV. The ALJ’s Finding Should be Excepted as to the Invoices Seafrigo Issued during the Snowstorm Period Because They Were Unjust and Unreasonable.

A. Bakerly established that it was unreasonable for Seafrigo to pass through the D&D charges during the snowstorm event.

Seafrigo acted unreasonably by passing-through demurrage charges during the snowstorm because it violates the Interpretive Rule and Bakerly did not assume the weather-related risk. Seafrigo asserts that the New York snowstorm resulted in port closure for the period of December 2020 to January 2021. It is undisputed that Seafrigo then charged demurrage to Bakerly when the ports were closed due to the weather, despite claiming that the snowstorm made it impossible for Seafrigo to timely pick up and return certain containers to the terminals. In general, in order for a liability for demurrage to exist, “the failure to load or unload the cars within the free time must be the fault of the shipper or consignee.” *St. Louis, Sw. Ry. Co. v. Mays*, 177 F. Supp. 182, 184 (E.D. Ark. 1959). The delay which resulted in demurrage charges was not the fault of Bakerly. Moreover, during the snowstorm period it was impossible for even Seafrigo to timely pick up loaded containers at the port, and to return empties at designated locations. Based on these conditions and weather restraints, charging for detention and demurrage during a snowstorm and port closure violates 46 C.F.R. §545.5 (c)(2)(ii) since empty

containers could not be timely returned. *TCW, Inc. v. Evergreen Shipping Agency (America) Corporation, & Evergreen Line Joint Service Agreement*, 2022 FMC LEXIS 589, at *19; 2022 WL 18068977 at *1-*2 (Dec. 29, 2022).

Seafrigo admits that D&D was incurred because of the snowstorm and therefore the charge is invalid. Seafrigo Resp. Br. at 16. Despite the inability to timely move containers to and from the port, Seafrigo paid charges during this time and unlawfully passed through the demurrage and detention charges to Bakerly. Bakerly in turn received D&D charges from Seafrigo for this event in the amount of \$361,178.54. Because of this, Bakerly has met the burden that the charges were improper pass through that Bakerly is not liable for paying and the charges must be returned to Bakerly.

B. The ALJ erred in the finding that the Interpretive Rule does not apply to this case.

The ALJ found that “Bakerly was correct” in arguing that “charging detention when the port was closed may not be consistent with the incentive principle and may violate the demurrage and detention rule” and then finds that the case cited by Bakerly was “issued . . . long after the snowstorm.” ID at 50-51. This set of conclusions lacks coherence. The incentive principle was not invented in the *Evergreen* decision; and the ALJ cannot avoid making a finding on the charges during the Snowstorm Period because the *Evergreen* decision was issued on December 29, 2022. The charges in *Evergreen* are unjust and unreasonable under the Interpretive Rule for the same reason that the charges in *Evergreen* were unjust and unreasonable under 46 C.F.R. § 545.5(c)(2)(ii).

In the alternative, *Evergreen* addressed facts from 2020¹⁴ and the decision was issued close to the time the Bakerly filed its complaint in this matter. *TCW, Inc. v. Evergreen Shipping Agency (America) Corporation, & Evergreen Line Joint Service Agreement*, 2022 FMC LEXIS 589, at *19; 2022 WL 18068977 at *1-*2 (Dec. 29, 2022). The ALJ cites to no case law or procedural rule—and Bakerly is not aware of any such rule—that prohibits an ALJ or the Commission from relying on case law interpreting the same regulations simply because a final decision was not decided prior to when the underlying facts occurred in the subsequent case. Further, there was no change in regulations between *Evergreen* and this case because the incentivizing principle went into effect May 18, 2020. *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. § 29638-01 (May 18, 2020). Therefore 46 C.F.R. § 545.5 governs the actions that occurred in *Evergreen* and in this case.

C. Risk of weather-related events were not assumed by Bakerly.

Seafrigo’s rules tariff specifically addresses risks related to the pickup, transport, and delivery of goods. Under Seafrigo’s rules tariff, these risks fall upon the merchant except when the shipments are on a door delivery basis. As the record establishes, the cargo transports at issue here are solely door delivery moves. Furthermore, a weather-related event undoubtedly impacts the pickup and delivery of goods as it did in this instance where Seafrigo was unable to timely perform these tasks. Therefore, given that the shipments subject to this proceeding are all door delivery and Seafrigo’s Rules Tariff exempts Bakerly from risk exposure for the pick-up and

¹⁴ “Respondent’s charging of per diem over a Saturday to Monday period from May 23-25, 2020, during which the Port of Savannah was closed, was unjust and unreasonable in violation of § 41102(c) and runs contrary to the Commission’s rule in 46 C.F.R. § 545.5(d).” *Evergreen* at 2022 FMC LEXIS 589, at *20.

delivery of door delivery goods, the D&D charges assessed during the port's closure was not an assumed risk of Bakerly.

Conclusion

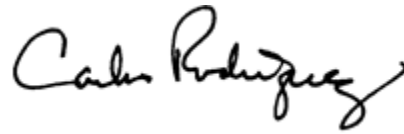
For the exceptions stated above and for the reasons stated in Bakerly's Opening Brief and Reply Brief, Bakerly is entitled to a finding on the following counts:

- Under Count 1, because Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage to Bakerly when the Rules Tariff and bills of lading required door delivery and violated 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R § 545 (Interpretive Rule) because the demurrage charges were inconsistent and unreasonable given the door delivery requirement and the Rules Tariff provisions which specifically exempted Bakerly from demurrage in door delivery circumstances, Bakerly is entitled to be refunded for the \$973,227.05 in demurrage that has been paid and Bakerly is entitled to be excused from paying amounts not previously paid \$1,288,809.92. Seafrigo should further be directed to cease and desist collection of \$1,288,809.92.
- Under Count 2, Seafrigo violated 46 U.S.C. § 41104(a)(14)-(15)(A), (B) because Seafrigo charged D&D inconsistently and unreasonably under 46 U.S.C. § 41102(c) through a duplicative invoicing practice that also violated the Interpretive Rule on D&D (46 C.F.R. § 545). Thus, Bakerly is entitled to \$1,040,254.65 for duplicative invoicing, to the extent those charges are not covered by recovery under Count 1 or Count 3.¹⁵ For demurrage (totaling \$1,022,663.10), \$884,242.87 is unpaid by Bakerly and Seafrigo should be directed to cease and desist collection. And \$138,420.23 has been paid. Thus, Bakerly is entitled to the \$138,420.23. Further, for detention (totaling \$17,591.55) \$10,242.55 is unpaid by Bakerly and Seafrigo should be directed to cease and desist collection. And \$7,349.00 has been paid and Bakerly is entitled to a refund.
- Under Count 3, Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage and detention to Bakerly during the Snowstorm Period in violation of 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R § 545 where weather as well as closed facilities impeded movement of containers during the snowstorm period. Thus, Bakerly is entitled to \$361,178.54, to the extent those charges are not covered by recovery under Count 1 or Count 2.

¹⁵ Two invoices were during the Snowstorm Period and were issued under Seafrigo's duplicative invoicing practice: IMP10-20-09444-02, IMP10-20-09444-03.

Dated: January 25, 2024

Respectfully Submitted,



Carlos Rodriguez
Julia Bonestroo Banegas
Jasmine Martel
Husch Blackwell LLP
1801 Pennsylvania Ave., N.W. Suite 1000
Washington D.C. 20006
Phone no. 202-378-2365
E-mail:
carlos.rodriguez@huschblackwell.com
julia.banegas@huschblackwell.com
jasmine.martel@huschblackwell.com

Counsel for Complainant, Bakerly LLC

CERTIFICATE OF SERVICE

I hereby certify that on this **twenty-fifth day of January 2024**, a copy of the foregoing Exceptions to Initial Decision and Memorandum and Brief in Support has been served upon all counsel of record in accordance with 46 C.F.R. § 502.

A handwritten signature in black ink, appearing to read "Julia Banegas", with a stylized flourish at the end.

Julia Banegas
Counsel for Complainant, Bakerly LLC